

DecisionBrief — Conversation Transcript

Scenario: home-renovation • 140 SFR for Investors • 1978 Ranch 1,800 sq ft Extensive Renovation • \$85k Cap

2026-05-14 11:02 AM

DecisionBrief: Thinking through a home renovation decision? Tell me about your portfolio and your role?

2026-05-14 11:02 AM

You: I manage 140 single-family rentals for out-of-state investors around Austin. I'm the property manager — leasing, maintenance coordination, and I oversee capital projects for owners. One of our owners wants to extensively renovate a 1978 ranch to push rent.

2026-05-14 11:03 AM

DecisionBrief: Got it — 140 SFR for investors, Austin market. What property needs renovation and what triggered it?

2026-05-14 11:03 AM

You: It's a 3 bed 2 bath, 1,800 sq ft in Pflugerville, built 1978, owned by an investor in California. Rents for \$1,800 now but comps renovated rent for \$2,600. It's been vacant 2 months after tenant left it trashed — carpet destroyed, kitchen cabinets water damaged, both baths original, HVAC is 18 years old, roof is 16 years old with 2 layers, Federal Pacific panel, and galvanized plumbing with low pressure. Owner wants to go high-end but I need to keep ROI realistic.

2026-05-14 11:04 AM

DecisionBrief: Understood — 1978 ranch, 1,800 sq ft, vacant and trashed, \$1,800 to \$2,600 rent upside if renovated. Original systems failing — 18-year HVAC, 16-year roof, Federal Pacific panel, galvanized plumbing. What's the current approach for renovations?

2026-05-14 11:04 AM

You: We usually do light turns — paint, carpet, \$8k-\$12k. This owner wants extensive — full kitchen, both baths, LVP throughout, new HVAC, roof, panel upgrade, PEX repipe, windows, and exterior paint. Last time we did extensive on a 1980s home we used a handyman who disappeared mid-job, 4 months late, \$25k over. Owner is nervous about contractor reliability and I am on the hook as manager.

2026-05-14 11:05 AM

DecisionBrief: Clear — light turns are routine, this is extensive gut-level, last handyman failed with overruns and delay. What's your budget range and who approves decisions?

2026-05-14 11:05 AM

You: Owner approved \$85k all-in, hard cap \$95k before he needs partner approval. That has to include materials, labor, permits, and my 8% project management fee. He wants rent ready in 10 weeks — holding cost is \$2,400 mortgage + \$200 insurance per month vacant, plus lost rent. Wants durable mid-grade finishes, not luxury — LVP, quartz counters, but not custom cabinets. Must pull permits for electrical, plumbing, roof through City of Pflugerville.

2026-05-14 11:06 AM

DecisionBrief: Got it — \$85k cap \$95k with your 8% fee included, 10-week rent-ready deadline, holding \$2,600/month vacant, mid-grade durable not luxury, permits for electrical/plumbing/roof. Any HOA or occupancy constraints?

2026-05-14 11:06 AM

You: Yes — HOA requires exterior paint color approval and dumpster can't stay more than 7 days visible. Neighbors already complained about prior trashed tenant. Home is vacant but we can't have open structure — must secure nightly. Also lead paint disclosure — 1978 build year means possible lead, need testing. And investor wants to know ROI — will \$85k actually get \$2,600 rent and reduce maintenance calls?

2026-05-14 11:07 AM

DecisionBrief: Understood — HOA paint approval, dumpster 7-day limit, secure nightly, possible lead paint 1978, and ROI question on \$85k to \$2,600 rent. Prior contractor experience beyond handyman?

2026-05-14 11:07 AM

You: We've used two licensed GCs for larger jobs — one good but expensive \$110/sq ft, one cheap at \$55/sq ft but cut corners on plumbing and we had slab leak 6 months later. This owner wants licensed GC with insurance, not handyman, but we can't afford luxury GC pricing at \$110/sq ft for 1,800 sq ft — that's \$198k. Need value GC who does investor-grade renovations.

2026-05-14 11:08 AM

DecisionBrief: Thanks — need investor-grade GC between \$55 cheap and \$110 luxury, licensed and insured, with SFR renovation track record. What worries you most about this extensive renovation?

2026-05-14 11:08 AM

You: Scope creep — owner sees TikTok kitchens and wants to add. Also hidden issues — once we open walls, galvanized plumbing and Federal Pacific panel could reveal more electrical and cast iron under slab. Permits could add 2 weeks if city wants engineering for roof. And if we go high-end finishes, we won't get ROI — Austin tenants won't pay extra for custom cabinets. Plus my reputation — if this goes over \$95k or past 10 weeks, owner blames me and pulls his 12 homes from my management.

2026-05-14 11:09 AM

DecisionBrief: Understood — scope creep from owner TikTok ideas, hidden plumbing/electrical, permit delays, over-improving vs market, and your management contract risk for 12 homes if over budget/time. What does success look like in 12 months?

2026-05-14 11:09 AM

You: Renovation done in 10 weeks within \$85k, including my fee and permits, rent ready at \$2,600 to qualified tenant with 2-year lease, no maintenance calls for 12 months — new HVAC, PEX, roof, panel. Owner sees 12% ROI on \$85k vs \$1,800 prior, and keeps his 12 homes with me. We get a repeatable scope for our other 1970s homes — what we should and shouldn't do for investor ROI.

2026-05-14 11:10 AM

DecisionBrief: I have enough information to prepare your Decision Brief.